

When analyzing historical investment returns, we find that the vast majority of long-term returns are a result of just 7 percent of all trading months. The return of the remaining 93 percent averages out to approximately zero.² What is clear, then, is that evaluating performance over shorter periods of time increases the chances that you will see a loss in your portfolio. If you check your portfolio daily, there is a 50/50 chance you will experience a loss. The odds don't improve much if you extend the evaluation period to a month.

But if you don't check your portfolio every day, you will be spared the angst of watching daily price gyrations; the longer you hold off, the less likely you will be confronted with volatility and therefore the more attractive your choices seem. Put differently, the two factors that contribute to an investor's emotional turmoil are loss aversion and a frequent evaluation period. Using the medical word for shortsightedness, Thaler and Bernatzi coined the term *myopic loss aversion* to reflect a combination of loss aversion and frequency.

Next, Thaler and Bernatzi sought to determine the ideal time frame. We know that over short periods, stock prices are much more volatile than bond prices. We also know that if we're willing to extend the period in which we measure changes in stock prices, the standard deviation of stock returns will diminish. What Thaler and Bernatzi wanted to know was this: How long would investors need to hold stocks without checking their performance to reach the point of being indifferent to the myopic loss aversions of stocks versus bonds? The answer: one year.

Thaler and Bernatzi examined the return, standard deviation, and positive return probability for stocks with time horizons of one hour, one day, one week, one month, one year, 10 years, and 100 years. Next they employed a simple utility function based on Kahneman and Tversky's loss-aversion factor of 2 (utility = probability of price increase – probability of decline × 2). Based on the math, an investor's emotional utility factor did not cross over to a positive number until it reached a one-year observable time period. I have often wondered whether Warren Buffett's preference that the stock market be opened only once a year for trading dovetailed with the psychological findings of myopic loss aversion.